

Coastal Ridge Assurance LLP

INDEPENDENT SERVICE AUDITOR'S REPORT

SOC 2 Type II Report on Management's Description of a Service Organization's System and the Suitability of the Design and Operating Effectiveness of Controls
For the Period January 1, 2024 to December 31, 2024
Issued: February 18, 2025

Independent Auditor	Coastal Ridge Assurance LLP
Service Organization	Ashford Clearing Networks LLC
System Under Evaluation	Card-Present and E-Commerce Clearing Infrastructure

To the Management of Ashford Clearing Networks LLC and the Users of Ashford Clearing Networks LLC's Card-Present and E-Commerce Clearing Infrastructure:

We have examined management's assertion that Ashford Clearing Networks LLC (the "Service Organization") maintained effective controls over its Card-Present and E-Commerce Clearing Infrastructure (the "System") based on the Trust Services Criteria for Security, Availability, Processing Integrity, Confidentiality, and Privacy (the "Applicable Trust Services Criteria") for the period January 1, 2024 to December 31, 2024. Management is responsible for its assertion and the design, implementation, and operation of the controls. Our responsibility is to express an opinion on the fairness of the presentation of management's description and the suitability of the design and operating effectiveness of the controls.

1. SCOPE

The System consists of the infrastructure, software, people, procedures, and data necessary to provide card-present and e-commerce transaction clearing, authorization routing, and merchant settlement services to clients such as Société Générale International S.A..

2. OPINION

In our opinion, except for the matters described in the Trust Services Criteria Exceptions section of this report, which include a material weakness in incident detection controls, the controls stated were not fairly presented in all material respects for the review period.

3. MANAGEMENT'S DESCRIPTION OF THE SYSTEM

[Management's description of the system, policies, and procedures has been included in the full report and is fairly presented in all material respects.]

4. TESTING OF OPERATING EFFECTIVENESS

We performed tests of the operating effectiveness of controls over the Applicable Trust Services Criteria. The nature, timing, and extent of testing performed are described in the accompanying Test of Controls matrix.

5. TRUST SERVICES CRITERIA EXCEPTIONS

Criteria	Exception ID	Description
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Cryptographic Key Management (CC6.3)	CC6.3.1	Testing of a random sample of 30 production servers revealed that automated cryptographic key rotation routines failed to fire at the required 90-day intervals. 14 core database instances were running keys older than 410 days due to an unpatched system script error.
Incident Detection and Response (CC7.2)	CC7.2.1	A confirmed security incident occurred in November 2024 in which unauthorized access to a logging subsystem exposed approximately 12,400 records containing partial Primary Account Numbers (PANs) and transaction metadata. Detection of the incident took 9 days from initial compromise, exceeding the organization's documented 24-hour detection target. This exception is assessed as a material weakness.

6. MANAGEMENT'S RESPONSE

Ashford Clearing Networks LLC management acknowledges both exceptions. Regarding CC6.3-04, a manual remediation process was implemented and key rotation was restored for the affected instances by January 2025; a permanent script fix remains in progress. Regarding CC7.2-01, management confirms that the November 2024 incident was contained, affected parties were notified in accordance with applicable breach notification laws, and a third-party forensic review has been commissioned. Management has engaged an external security consultancy to redesign detection tooling, with completion targeted for late 2026.

7. OTHER INFORMATION

This report is intended solely for the information and use of Ashford Clearing Networks LLC management, its clients (including but not limited to Société Générale International S.A.), and other specified parties who have a business relationship with Ashford Clearing Networks LLC and who are subject to the Applicable Trust Services Criteria. This report is not intended for any other purpose.

The report, including any exceptions noted, does not provide any assurance regarding future periods. Controls are subject to inherent limitations, including the possibility of management override.

Coastal Ridge Assurance LLP

Date: February 18, 2025

Partner, Risk Advisory Services Engagement Director

APPENDIX: SUMMARY OF TESTS OF CONTROLS

Trust Services Criteria	Control Activity	Test Method	Results / Exceptions
Cryptographic Key Management (CC.6)	Automated key rotation every 90 days	Inspection of logs and sample testing	Testing of 30 servers, 14 servers with keys older than 410 days
Incident Detection and Response (CS.7)	Continuous monitoring and timely review of SIEM alerts	Review of SIEM alerts, authorized access	Timeline reconstruction in breach, Nov 2024, ~12,400 records, 9-day detection delay